3. To secure stability of the general revenues by providing an assured annual contribution from railway revenues.

4. To enable the railways to keep their profits for their own development (after paying a fixed annual contribution to the general revenues).

In 2017, the Central Government merged the railway budget into the general budget. Hence, there is now only one budget for the government of India i.e., Union Budget.

 **Constitutional Provisions**

The Constitution of India contains the following provisions with regard to the enactment of budget:

1. The President shall in respect of every financial year cause to be laid before both the Houses of Parliament a statement of estimated receipts and expenditure of the Government of India for that year (Article 112).

2. No demand for a grant shall be made except on the recommendation of the President (Article 113).

3. No money shall be withdrawn from the Consolidated Fund of India except under appropriation made by law (Article 114).

4. No money bill imposing tax shall be introduced in the Parliament except on the recommendation of the President, and such a bill shall not be introduced in the Rajya Sabha (Article 117).

5. No tax shall be levied or collected except by authority of law (Article 265).

6. Parliament can reduce or abolish a tax but cannot increase it (Article 117).

7. The Constitution has also defined the relative roles or position of both the Houses of Parliament with regard to the enactment of the budget in the following way:

(a) A money bill or finance bill dealing with taxation cannot be introduced in the Rajya Sabha—it must be introduced only in the Lok Sabha (Article 109).

(b) The Rajya Sabha has no power to vote on the demand for grants; it is the exclusive privilege of the Lok Sabha (Article 113).

(c) The Rajya Sabha should return the Money bill (or Finance bill) to the Lok Sabha within fourteen days. The Lok Sabha can either accept or reject the recommendations made by Rajya Sabha in this regard (Article 109).

8. The estimates of expenditure embodied in the budget shall show separately the expenditure charged on the Consolidated Fund of India and the expenditure made from the Consolidated Fund of India (Article 112).

9. The budget shall distinguish expenditure on revenue account from other expenditure (Article 112).